

limit its initial market size. However, this may not necessarily hinder long-term growth, especially if Tesla localises production and reduces its cost base,” says Nomura’s Sharma.

While policy incentives are boosting overall EV sales in India, the luxury segment is a different story. The segment grew a modest 6.7% in 2024, with most companies registering a decline in sales, according to the Federation of Automobile Dealers Associations. As per Vahan, EV sales rose 23.3% in 2024 from the year-ago period. At present, luxury EVs account for only 1% of total automobile sales in India. Cars priced above ₹40 lakh are usually entry-level premium vehicles in India. Mercedes-Benz has committed to expand its EV portfolio in India but demand remains moderate compared to more mature markets. For BMW, the luxury EV market in India is still a small part of its overall sales,

though it’s seeing an uptick.

“Tesla may induce a shift in competitive dynamics, but the local auto industry’s response is uncertain. Indian manufacturers may innovate in response, but it’s difficult to predict how quickly they will adapt to Tesla’s global standards,” says Sharma.

Tesla’s entry will also have a significant impact on battery technology, research and innovation. “Tesla’s presence might raise the technology bar for Indian EV manufacturers, but how much local players will be able to catch up remains uncertain. Tesla’s offering like Autopilot and over-the-air updates could influence consumer expectations, but it is unclear whether Indian consumers will prioritise these features immediately,” says Sharma.

Despite several EV options, a lack of charging infrastructure is hindering adoption. Experts believe that after entering the domestic market, setting up a charging infrastructure

would be a big challenge for Tesla.

“By the time Tesla enters the Indian market, it would need to put up its charging infrastructure and that would be a big cost,” says Puneet Gupta, Director, S&P Global Mobility, India & ASEAN. According to Nomura’s Sharma, without adequate infrastructure, Tesla’s adoption rate could remain lower than expected.

One of the biggest challenges for Tesla would be in terms of expansion with just five to six dealership outlets initially. “Generally, even if they open two outlets or reach five to six outlets, they won’t be able to target the entire country. We have usually seen that when premium brands come to India. As they have a limited network, they find it difficult to convince customers regarding their product even in the big metros,” notes Gupta. **BT**

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